

Vinyas Innovative Technologies Ltd

Concall Tracker — earnings-call read · 11 July 2026 · Screener ticker: VINYAS

1. Snapshot

What the business does (in plain words): Vinyas is a Mysore-based electronics manufacturing services (EMS) company. In simple terms, other companies design an electronic product — a circuit board or a full sub-system for a fighter-jet cockpit, a radar, a medical device or an industrial machine — and hand Vinyas the drawings; Vinyas assembles, tests and delivers it. It works “build-to-print” (makes exactly what the customer's print/drawing says). Its niche is **high-mix, low-volume, high-reliability** work — small batches of very complex, mission-critical boards where quality standards are extreme. Its biggest customers are Indian defence bodies (Bharat Electronics, HAL, other public-sector units) and global defence/aerospace equipment makers.

Number (source: Screener)	Value	Plain-English read
Market value	Rs 1,748 crore	What the whole company is worth on the stock market today.
Sales FY26 (year to Mar 2026)	Rs 514 crore	Total goods billed in the year — up about 30% from Rs 397 crore last year. Strong growth.
Net profit FY26	Rs 31 crore	The final take-home profit — up about 63% from Rs 19 crore. Profit grew faster than sales.
Operating margin FY26	~12%	Out of every Rs 100 of sales, about Rs 12 is operating profit before interest and tax. Thin, but improving from 10-11%.
Price-to-earnings (P/E)	56.6	The stock costs about 57 times one year's profit — a rich, priced-for-fast-growth valuation.
Borrowings (Mar 2026)	Rs 131 crore	Money owed to lenders — up from Rs 104 crore a year ago. Debt is rising as the business grows.
Return on capital (ROCE)	18.7%	For every Rs 100 of capital put to work, the business earns about Rs 19 before tax — decent.

2. Concall coverage

Vinyas held its **first-ever earnings concall in June 2025** and reports on a **half-yearly** rhythm (not quarterly). All available transcripts were read:

Call	Date	Covers	Read?
H2 & full-year FY25	4 Jun 2025	Year to Mar 2025	Yes
H1 / Q2 FY26	10 Nov 2025	Half-year to Sep 2025	Yes
H2 & full-year FY26	29 May 2026	Year to Mar 2026	Yes (latest)

Coverage caveat — read this first: the concall record is only about **one year long (3 half-yearly calls)**. That is enough to see whether the first promises were met, but it is **too short to judge multi-year consistency** the way a company with 3 years of calls allows. Treat the consistency read below as encouraging-but-early. (A fourth downloaded file was a duplicate of the Nov 2025 transcript with a signature page added.)

★ Latest concall highlights — H2 & FY26 (call held 29 May 2026)

- **Full-year FY26 revenue Rs 518 crore** (management's figure; Screener shows Rs 514 crore), up ~30% on the year — the business grew nearly a third bigger. **Profit Rs 30.9 crore**, up ~63%. **Operating margin rose to 12.5%** from ~11% — each sale is now a bit more profitable, helped by a better job mix and scale.
- **Order book Rs 1,309 crore as of 31 Mar 2026** — confirmed future work worth about 2.5 years of current sales. Fresh orders won in the year were Rs 960 crore (up from Rs 737 crore).
- **Two big strategic moves announced:** a **joint venture with an Israeli defence company** (to make defence systems in India) and a **new wholly-owned US subsidiary** (chasing two shortlisted US programs). Both are early-stage.
- **Exports jumped to ~50% of revenue** in FY26 (from ~22-23% the year before) — half the sales now come from overseas customers, mainly Europe and the US.
- **Won NADCAP accreditation** (a top global aerospace-manufacturing quality stamp) — a gate-pass to bid for regulated commercial-aerospace and export defence work. Tone: confident, milestone-focused (company turns 25 in Oct 2026).

Business mix & capacity (quick-glance)

- **Domestic vs export:** roughly **50% India / 50% exports** in FY26 (exports rose sharply from ~22-23% a year earlier). Half the sales are now earned abroad.
- **Sector mix:** defence & aerospace ~78-80% of sales, industrial ~15%, medical small but growing (target ~5-10% of sales). The order book is even more defence-heavy (85-90%).

- **Capacity use:** plants run at only ~35-40% today — lots of unused room. Current set-up can support Rs 1,100-1,200 crore of sales; a new Rs 30 crore expansion (live ~April 2027) aims to roughly double capacity toward Rs 2,000+ crore. Plainly: capacity is being built *ahead* of demand, so the plants sit under-used for now.

3. Earning-trigger thesis

The core trigger: India's push to build defence and aerospace electronics at home (instead of importing) is filling Vinyas' order book faster than it can bill. The company is a rare, hard-to-replace supplier — it has spent years and multiple certifications (AS9100, and now NADCAP) becoming an approved, sometimes sole, vendor on specific defence programs, which is a high entry barrier. On top of that it is (a) climbing from just assembling boards to building whole sub-systems (higher value, better margins), (b) growing exports, and (c) adding medical and commercial-aerospace lines. The Rs 1,309 crore order book, growing exports and improving margins are the concrete evidence this is actually happening — not just a promise.

Trigger	What management said	Evidence so far	Horizon	Strength
Growing defence order book	30-35% annual growth; order book to keep rising on indigenisation	Order book Rs 1,018cr (May'25) → 1,062cr (Sep'25) → 1,309cr (Mar'26); sales +30%	Live, 18-24 mth execution	Strong
Move up value chain (system integration)	Higher-value sub-system work lifts margin over 4-5 yrs	Margin up to 12.5%; new 25,000 sq-ft integration capacity started	Medium (2-4 yrs)	Moderate
Exports + new geographies	Export share rising; US subsidiary, Israeli JV	Exports ~50% of FY26 sales; NADCAP won; JV/US early-stage	Medium	Moderate
New verticals (medical, commercial aerospace)	Medical to ~5-10% of sales; commercial-aero entry	First Fresenius Kabi medical orders ramping; aero still in first-article inspection	Early	Unproven

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2025 (FY25 call)	~25% revenue growth in FY26; EBITDA margin 9-11%	Delivered ~30% growth (Rs 514cr) and 12.5% margin — beat both	Delivered
Jun 2025	Order inflow Rs 600-750cr; order book to Rs 1,500-1,600cr by FY26-end	Inflow Rs 960cr (beat); order book Rs 1,309cr (slightly below the 1,500cr aim)	Partly
Nov 2025 (H1 FY26 call)	Raised guidance to 30-35% growth; Rs 150cr equity raise to fund capacity	Raise completed (Rs 150cr); FY26 growth ~30% — delivered	Delivered
Across calls	Working capital to be cut toward ~30% of sales	Still heavy — receivable and cash-cycle days stayed high (see below); target not yet met	Missed / too-early

Narrative drift: essentially none so far. The story has stayed steady — defence indigenisation, a hard-to-copy approved-vendor position, climbing the value chain, and rising exports — and it has *strengthened* sensibly (NADCAP win, exports doubling, JV and US moves added on top rather than replacing the old story). Guidance was met or beaten on growth and margin. The one clear gap: the promise to bring down working capital has **not** been kept. But remember this is only one year of calls — a clean start, not yet a proven multi-year habit.

5. The catch — cash and valuation

The profit-and-loss looks great, but the **cash tells a harder story**:

- **Operating cash flow was *negative* Rs 32 crore in FY26** — despite Rs 31 crore of book profit, the business *consumed* cash rather than generating it, because money is tied up in unpaid customer bills and inventory.
- **Cash-conversion cycle ~232 days and debtor days ~161** — roughly, it takes about 7-8 months to turn a rupee of cost back into cash, and customers take ~5 months to pay. This is heavy, and defence customers are slow payers.
- **Funded by debt and dilution:** borrowings rose to Rs 131 crore and the company raised Rs 150 crore of fresh equity in FY26. Growth is real but it is being paid for by outside money, not by the business's own cash.
- **Valuation is rich:** ~57 times earnings prices in years of fast growth already — leaving little cushion if a defence program slips (management itself flags program push-outs as the main risk).

Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, still-live driver: a Rs 1,309 crore order book (about 2.5 years of sales) fed by India's defence-indigenisation push, backed by a genuine entry barrier (approved/sole-vendor status and NADCAP), and it is visibly playing out — sales up ~30%, margin up to 12.5%, exports

doubling. This is evidence, not just talk, so it earns a clear Yes. (The trigger's existence is separate from the cash and valuation concerns in Section 5.)

Management consistent? → **MAYBE**

Within the short window available, management has been good — it met or beat its growth and margin guidance, the story has stayed steady and strengthened, and there is no drift. That alone would argue for a Yes. But the concall history is only **one year (3 half-yearly calls)**, too short to confirm a durable multi-year habit, and one promise — cutting working capital — has clearly **not** been delivered. Encouraging start, not yet proven: **MAYBE**.

Sources: Screener.in company page and the 3 concall transcripts (4 Jun 2025, 10 Nov 2025, 29 May 2026). This is not investment advice. Do your own due diligence.